

Briefing Note for Courtyard Owners 10 July 2014

From: Jonathan Pope – CMC Company Secretary

LAND REGISTRY – REGISTRATION OF THE COMMUNAL LAND AND DEFECTS IN INDIVIDUAL OWNERSHIP TITLES etc.

This is an urgent and important note for all Courtyard owners. It follows several weeks of research by me and an initial review of what's been discovered by the Directors. We now have a clear understanding of the facts and I set them out for your information.

Please read this carefully alongside the specified accompanying documents which are combined into a single pdf document attached to your email. You can also download it from the Residents Library [**CMC Legal>CMC Communal Land Transfer & Land Registry**]. These are the associated Title Plans and the trail of correspondence between CMC and the Land Registry. All this paperwork is necessarily very detailed and complex and you may need to read it several times to gain a full understanding. We are arranging an urgent meeting of owners ASAP to discuss the matters arising and decide by vote how to proceed. Any owner who cannot make the selected date is asked to let me have their comments and vote by email. Please see the end of this note for further information on this.

I summarise the essential issues for you in this paper.

As reported in my last briefing note and at the last owners' meeting following the transfer of communal land from Thameside to CMC on 1st April, we have been following through with the process of **registration of CMC's new Title at the Land Registry**.

The usual process in conveyancing and transfers such as this is that the exchange of contracts and completion, including any payment (in our case £10,251), takes place by a due date (1st April 2014). Then the Transferee's solicitor (ie CMC's) presents the proposed Title Plan for the new Title provided by the Transferor's solicitor (ie Thameside) to the Land Registry. The Land Registry then checks and registers it on their master database of all UK land titles. Only when that registration has been approved has the Title been "*legally transferred*" and the process completed. Until that approval, the Title is classified as "*legally transferred subject to registration*". In our case the legal agreement reached at the Mediation last October will not have been fulfilled until that has happened. The assumption always behind this process is that the Transferor actually has a correct Title to transfer and that no discrepancies will arise.

Given our troubled 8-year experience with Thameside, it will not surprise you to learn that the Title and Title Plan they have provided turn out to be incorrect in a number of

respects. A small part of this relates to bits of communal land and is of concern to CMC and therefore all 14 owners. But what will surprise you, and is much more of problem, is that 7 of the freehold ownership Titles and 1 leasehold ownership Title of individual residents have now been shown to be legally defective. In the case of Courtyard addresses Nos. 1, 3, 6, 7, 8, and 10, parts of each property, mostly areas of fenced garden, have not been correctly conveyed to the owner, but have in fact been retained within Thameside's Title and are part of what they are now transferring to CMC as communal land. Even more of a problem is that the conveyancing of No 9 was so defective that no resident has legal right of access through the archway into the Courtyard. Furthermore defects in the conveyance of No 5 mean that John and Val Jeffers own the Title to part of the new roadway on the Northern boundary and are therefore liable for the costs of its upkeep and for claiming part of the annual maintenance costs from the cottage owners.

Clearly these are all serious defects, which you will find documented in the Land Registry letters/plans and I explain in more detail below. They all arise from mistakes which were made between Thameside, and the original individual owners' solicitors and indeed the owners themselves, during the conveyancing of these properties in 2006-2008.

These problems also impact in turn on the communal land and therefore on CMC and the property Titles of all 14 owners. They have only now come to light as a result of CMC's contact with the Land Registry and will have to be sorted out in order for the communal land Title to be properly transferred. Until that is done, which is now a matter of urgency, no owner would be able to complete a sale of their own property, and, as you know, we have already had several examples of sales collapsing for precisely this reason. More problematic still, the owners affected by these incorrectly conveyed Titles would not be able to legally convey the entirety of the Title of their respective properties until these issues have been resolved.

I set out in more detail below the problems that have now been identified through our communication with the Land Registry. Please read this alongside the Land Registry letters and the Title Plans:

1. The Title in the ground floor level of the archway into the Courtyard (hatched pink on the Land Registry illustrative Plan) was mistakenly transferred by Thameside to Dean and Gloria McCann (No 9), instead of being reserved for transfer as part of the communal areas to CMC, which is what Thameside's various transfer plans have always shown would happen. What should have been transferred was a "*flying freehold*" Title relating specifically to the part of their property which is above the archway. As a result of this no resident of the Courtyard (except Dean and Gloria) actually has a legal right of access into the Courtyard. This fundamental mistake was clearly not recognised by either Thameside's solicitors or the solicitors acting for Dean and Gloria McCann. You will see from the correspondence that I have interrogated the

Land registry in some detail on this transaction and their position on the legal ownership is clearly set out in their latest emails. This is legally a matter that each of the freehold owners in the Courtyard will need to resolve for themselves with Thameside and with Dean and Gloria McCann. In practice, because this also affects communal land, it will best be done by CMC acting collectively on behalf of all 14 owners and the mistake in the registration being corrected by re-transfer of the ground floor Title to CMC as part of the communal land, which is what Thameside has been claiming until now it could legally do. Legally, however, Dean and Gloria McCann have every right to retain this title should they decide to do so. In that case complex litigation by all 14 owners against Thameside would be necessary. All owners of Courtyard properties would possibly also have a case to raise with their respective solicitors citing negligence. However, in each conveyance the solicitors would have been acting on the basis of the 2006-8 transfer Plans, which showed Thameside committing to transfer this land to the management company. They would also rely on each purchaser having personally verified the accuracy of what was being transferred. So they would probably decline to accept liability. From initial discussions I've had with Dean, he has helpfully confirmed that he would wish this problem to be resolved, but reasonably enough does not wish to incur costs for this.

2. Part of the roadway (hatched brown on the Land Registry illustrative Plan) at the entry to the Farmhouse car park, which Thameside has claimed to own, is in fact unregistered land and forms part of the Access Road. It's unregistered but Liscombe Park Limited would probably claim ownership of it. Fortunately this mistake is easily corrected by the red boundary line of the communal land being relocated to exclude this area. It does not affect access to and from the Farmhouse car park which can legally continue in accordance with the rights of way over the Access Road assigned by Liscombe Park Limited in return for CMC's annual payment. This can be resolved direct between CMC and the Land Registry.
3. The garden areas for Nos. 13 (Kevin Smith) and 14 (Colin Sutherland and Julie Bedford) at the back of the Farmhouse car park have been conveyed leasehold to the respective owners by Thameside. However the Title Plan provided by Thameside for the 1 April 2014 transfer has omitted to include these areas within its red boundary and hatched grey, to indicate that the freehold of these areas forms part of the communal land within the Farmhouse freehold and is being transferred to CMC as such. This can be relatively easily corrected directly between Thameside and CMC by revision of the transfer Title Plan.
4. The Land Registry requires that the leasehold car parking spaces for Nos 12, 13 and 14 will be "*noted*" as leasehold ownerships in CMC's freehold Title to the ownership of the car park. This is just a technicality and not of any consequence in practice. I believe the Land Registry has missed the same issue in respect of the two parking spaces for No 10 and I will discuss that

with them. These are a detail that can be resolved between CMC and the Land Registry.

5. **There are then the much more serious problems arising from defective work in the conveyance of mostly garden areas of individual freehold properties.** Please see the blue hatched areas marked on the Land Registry illustrative Plan. These blue areas affect Nos. 3 (Ian and Bruno), 1 (Eileen), 8 (Nigel and Pauline), 7 (Bart and Mike), and 6 (Alan). In respect of No 10 the issue is slightly different in that the leasehold ownership Title transferred to Malcolm and Julia omitted a tiny sliver of land shown blue on the Land Registry Plan. Since the freehold of this property is being transferred to CMC, it does not materially affect CMC, but it does mean that Malcolm and Julia could not convey the entirety of their leasehold. **The issue in all these cases is that there is a discrepancy between what each freehold owner has had fenced by Thameside as part of their garden and therefore believes they own, and what they actually own the Title to on the Land Registry master database.** The blue areas are land which was supposed to be included within each individual Title, but for which the correct transfer of Title by Thameside to the individual owner never took place. The reasons for this may be partly defective work by Thameside's solicitors and partly by individual owner's solicitors. Individual owners should also have been asked personally to approve and verify the accuracy of what was being conveyed to them. In most cases it also has a lot to do with the changes Thameside made in 2007 to the gardens, roadway and rights of way on the Northern side of the Courtyard and the fact that no precise survey plans were prepared at the time. It seems odd that none of this has been revealed by any of the recent conveyances, but only Nos 1 and 6 have been conveyed since and all Plans relating to those appear to have been accepted by the various solicitors and the Land Registry at face value. As the Land Registry now says, they were aware of discrepancies between the positions of fences and the transfers of titles and they are also now trying to reconcile Thameside's plans with the latest Ordnance Survey map, which they use on their database and is actually accurate. Whatever the reasons – and there is no value in trying to interrogate them further - these chickens have now come home to roost. Not only does it mean that none of these owners could currently sell their properties inclusive of the blue hatched areas, it also means that the communal land now being transferred to CMC includes these blue hatched areas. Clearly any solution to this will have to reconcile the legitimate interests of each freehold owner with the collective interests of CMC as owner of the communal land on behalf of all 14 owners. I set out the possible approaches to remedying these issues later.
6. The roadway on the Northern boundary (see Land Registry illustrative Plan) is now recognised to be in the wrong place as far as the Ordnance Survey map/ Title ownerships is concerned and part of this roadway is actually located within the garden property title of No 5 (John and Val Jeffers). This gives rise

to two problems. Firstly general road access over this roadway for all users, including the cottage owners who have a right of way, is technically restricted to about half the width of the roadway. Secondly responsibility for the cost of the upkeep of this part of the road will not be transferred to CMC but is actually a liability for John and Val personally as the freehold owners of No 5. So too is the responsibility for claiming the annual upkeep costs from the cottage owners in respect of that part of the road.

7. In respect of No 1 (Eileen), in addition to the garden issue, the storage cupboard off the archway, which we believe to be part of her freehold property, is still shown on the Thameside Plan as within its red boundary marking. It appears therefore that this has not been properly conveyed.
8. The Thameside transfer Plan is inaccurate in excluding within its red edging the oval of grass and the tree in the centre of the Courtyard. This is a technicality which can be resolved between CMC and the Land Registry by Thameside revising its Plan.

Options for resolving these problems

CMC has not yet alerted Thameside to all these issues because we firstly wish to have all 14 individual owners decide how they wish to proceed.

There will inevitably be costs arising, both for CMC and for individual owners, from any paid legal work to unscramble all these problems. There will also be a lot of unpaid administration time which I and the directors will need to commit to this. Please keep this in mind when considering the options which I set out below.

Both of these options arise from discussions I've had with the Land Registry and from their perspective they are both technically feasible ways forward. **The Land Registry requires us to confirm that the transfer should proceed by 31st July, failing which they will cancel our application for registration and we will have to make a fresh application again in due course.**

Option 1

CMC can throw this whole problem back to Thameside and inform it that its plan submitted for transfer of the communal land has been found to be defective for all these reasons by the Land Registry. Thameside will then have to engage legally on a case by case basis with each of the individual owners affected to correct the defects in each of their respective conveyances before it can then re-present a corrected plan to CMC for the transfer of the communal areas. The individual owners via their solicitors would then need to take up their respective ownership problems

individually with Thameside - and possibly also with their original solicitors if they feel they have grounds for a claim of negligence against them. They could also possibly pursue legal action against Thameside to recover any further costs they may incur in doing all this. Only when all of that has been legally completed can CMC make a fresh application to the Land Registry for transfer of the communal land.

The merit of this course would be that it keeps the liability for the original defective work with Thameside, and potentially opens the possibility of individual owners being able to reclaim some of their costs from Thameside through related legal actions. These would, however, be long and complex cases to pursue, and there is no guarantee that owners would win.

The major downside of this option is that:

- It leaves each individual owner having to individually challenge Thameside, which is likely to increase hugely the scope for confusion and delay
- No transfer of the communal areas can be completed until all the individual legal actions have been completed
- Which means that no owner, not just those with defective titles, will be able to sell their own property until that has been done
- It leaves both CMC and individual owners having to continue trying to get Thameside to respond to all these complicated transactions, which given their track record I suggest could easily will take us 7-10 years, if at all.
- It assumes that Thameside would be willing to pay costs to individual owners/CMC, which is probably unrealistic without extremely complicated and expensive legal suits against them

Option 2

CMC can let the transfer of communal land be completed in the full knowledge that these problems exist within it and will then have to be resolved. In which case the transfer based on the Land Registry illustrative plan, will be registered by the Land Registry **on 1st August**. This means that CMC will immediately become the legal owner of all the communal land including the blue hatched areas, but excluding the brown hatched roadway, the ground floor level of the Archway, that part of the Northern Road owned by John and Val Jeffers, the oval grass area with tree, and the gardens of Nos 13 and 14.

The disadvantage of this approach is that it is unlikely that either CMC or any individual owner could reclaim any of their costs from Thameside. We could try, but I believe the legal complexities are unlikely to make this possible.

The considerable advantage of this option is that CMC and all 14 owners will immediately have complete control of unscrambling all these problems between themselves, without any need to involve Thameside or wait on them responding. If good faith and prompt attention is shown by all parties, this could probably be

completed within a matter of months. CMC and the owners with defective Titles can immediately work through a relatively straightforward and amicable process of correcting all the defective Titles, which will require new legal deeds to be drawn up for each of the defective areas. CMC would also act collectively on behalf of all the Courtyard owners to achieve the re-transfer of the ground floor area of the Archway from Dean and Gloria to CMC. CMC can also collectively discuss resolution of the Northern Roadway problem with John and Val Jeffers. CMC will also deal with the remaining small issues (oval grass and tree and gardens of Nos 13 and 14) direct with Thameside as a separate matter.

I cannot give any certain estimate of CMC costs here, but as a basis for discussion I would expect CMC to be able to negotiate a batch transaction deal with its solicitors to reduce CMC's costs to the minimum possible. Costs for individual owners might be perhaps £600 per property for their legal work, but this is just a guess.

Other options ?

We could notify Thameside that they have failed to complete the transfer as agreed at the Mediation and they either need to do that in all respects at their cost, or repay the £10,251 paid and start the whole process again. In practice this would be likely to end up mired in legal action against Thameside and, although we might be able to recover our costs eventually, it would probably take many years to resolve. During that delay all the problems would remain and no sale of any Courtyard property would be possible.

Conclusion

On balance and recognising all the implications, the Directors recommend that the 14 owners support Option 2.

I'm aware that this news will not please anyone. I expect that many owners will have questions arising from this. If you want clarification of any facts please email me and I'll do my best to add any information I can. Unless you want to discuss anything confidentially, please copy any email to all recipients of this, so we can keep everyone informed.

Ian Woodland will be emailing the date for an urgent meeting of owners for the end of next week. We will have to decide at the meeting which of the two options above we wish to pursue. We will need to put the matter to a vote, the result of which will be binding on all CMC members/shareholders. **Could anyone not able to attend the meeting therefore please email me a clear statement of which option they wish to agree.**

Jonathan Pope
Company Secretary – CMC
10 July 2014

Footnote:

Please note that the Plot numbers on plans and the Postal Address numbers are different. I have exclusively referred to Postal Address numbers here as we all understand which properties those are.

The Thameside Communal Land transfer plan contains a large area of land hatched blue which is the separate plot retained by Thameside. None of the references to blue land above or in the accompanying papers are to this plot.